

The accepted assumption that because earnings have moved in a certain direction for some years past they will continue to move in that direction is fundamentally no different from the discarded assumption that because earnings averaged a certain amount in the past they will continue to average about that amount in the future. It may well be that the earnings trend offers a more dependable clue to the future than does the earnings average. But at best such an indication of future results is far from certain, and, more important still, there is no method of establishing a logical relationship between trend and price.<sup>3</sup> This means that the value placed upon a satisfactory trend must be wholly arbitrary, and hence speculative, and hence inevitably subject to exaggeration and later collapse.

*Danger in Projecting Trends into the Future.* There are several reasons why we cannot be sure that a trend of profits shown in the past will continue in the future. In the broad economic sense, there is the law of diminishing returns and of increasing competition which must finally flatten out any sharply upward curve of growth. There is also the flow and ebb of the business cycle, from which the particular danger arises that the earnings curve will look most impressive on the very eve of a serious setback. Considering the 1927–1929 period we observe that since the trend-of-earnings theory was at bottom only a pretext to excuse rank speculation under the guise of “investment,” the profit-mad public was quite willing to accept the flimsiest evidence of the existence of a favorable trend. Rising earnings for a period of five, or four, or even three years only, were regarded as an assurance of uninterrupted future growth and a warrant for projecting the curve of profits indefinitely upward.

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<sup>3</sup> The new-era investment theory was conspicuously reticent on the mathematical side. The relationship between price and earnings, or price and trend of earnings was anything that the market pleased to make it (note the price of Electric Power and Light compared with its earnings record given on in the table on the previous page). If an attempt were to be made to give a mathematical expression to the underlying idea of valuation, it might be said that it was based on the *derivative* of the earnings, stated in terms of time. In recent years more serious efforts have been made to establish a mathematical basis for discounting expected future earnings or dividends. See Gabriel Preinreich, *The Theory of Dividends*, New York, 1935; and J. B. Williams, *The Theory of Investment Value*, Cambridge, Mass., 1938. The latter work is built on the premise that the value of a common stock is equal to the present value of all future dividends. This principle gives rise to an elaborate series of mathematical equations designed to calculate exactly what a common stock is worth, *assuming* certain vital facts about future earnings, distribution policy and interest rates.